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General Management

Management Science

1. Credit Ratings and Investments

Authors: Anna Bayona, Oana Peia, Razvan Vlahu

DOI: [10.1287/mnsc.2024.06886](https://doi.org/10.1287/mnsc.2024.06886)

Department: Finance

Published: 2026-07-28

Fields & Theories:

- **Fields:** Finance, Capital Markets, Behavioral Finance
- **Theories:** Coordination Games, Feedback Effect, Information Economics

Abstract:

We study the impact of potentially inflated credit ratings in bond markets using experimental coordination games. Theoretical models featuring a feedback effect between capital markets and the real economy suggest that inflated ratings can have both positive and negative effects. Comparing markets with and without a credit rating agency, we find that ratings significantly influence investor behavior and capital allocation to firms. While we find evidence for both positive and negative real effects of potentially inflated ratings, the presence of a rating has an overall positive effect. We examine the mechanisms underlying these real effects and find that they operate mainly through investors' beliefs about others' behavior, and less so through beliefs about the firm's fundamentals. This paper was accepted by *Camelia Kuhnen, finance*. Funding: A. Bayona acknowledges financial support from the Spanish Ministry of Science, Innovation and Universities and Agencia Nacional de Investigación [Grants ID2021-123748NB-I00 and PID2024-156339NA-I00], and Universitat Ramon Llull [Grant 2021-URL-Proj-068]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06886>.

□ Bayona - Credit Ratings and Investments.pdf

2. Risk Pricing Under Gain–Loss Asymmetry

Authors: Marianne Andries

DOI: [10.1287/mnsc.2025.02286](https://doi.org/10.1287/mnsc.2025.02286)

Department: Finance

Published: 2026-07-28

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Behavioral Economics
- **Theories:** Prospect Theory, Long-Run Risk Model, Utility Theory

Abstract:

We propose a novel gain–loss asymmetric utility model—losses relative to a reference point incur discontinuously more disutility than comparable gains—under which we derive closed-form asset pricing solutions within the workhorse “long-run risk” asset pricing model. Our formal analysis reveals gain–loss asymmetry has a dual impact on risk prices. First, a level effect: the expected excess returns of risky assets are made higher and the risk-free rate lower by the kink in the preferences. Second, a cross-sectional effect: the increase in expected returns for an additional unit of risk is higher (lower) for safer (riskier) assets, so expected returns increase nonlinearly with risk exposures. This second effect, absent in standard smooth utility models, can help rationalize, both qualitatively and quantitatively, key puzzles in empirical finance—the fit of the security market line and the downward-sloping term structure of equity risk premia—without compromising on the model's ability to match the equity premium in the data. This paper was accepted by *Tomasz Piskorski, finance*. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2025.02286>.

□ Andries - Risk Pricing Under Gain–Loss Asymmetry.pdf

3. Do Employees Have Useful Information About Firms' ESG Practices?

Authors: Hoa Briscoe-Tran

DOI: [10.1287/mnsc.2024.07258](https://doi.org/10.1287/mnsc.2024.07258)

Department: Finance

Published: 2026-07-27

Fields & Theories:

- **Fields:** Strategic Management, Corporate Governance, Organizational Theory
- **Theories:** Information Asymmetry, Signaling Theory, Stakeholder Theory

Abstract:

This study evaluates whether employees have useful information about firms' ESG (environmental, social, governance) practices. Analyzing over 10 million employee reviews, it reveals that 43% of reviews discuss ESG topics, with governance surprisingly receiving substantial attention. Assembling novel hard-to-manipulate ESG indicators, including emissions estimates from satellite imagery, the study finds that employees' ESG inside view is more informative about these indicators than existing ESG ratings. Moreover, the inside view appears robust to ESG cheap talk, as low-cost changes in firms' ESG commitments do not affect it, whereas costlier changes do. Thus, employee perspectives can help investors assess firms' authentic ESG performance. This paper was accepted by Will Cong, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07258>.

□ Briscoe-Tran - Do Employees Have Useful Information About Firms' ESG Practices.pdf

4. The Dark Side of Liquid Bonds in Fire Sales

Authors: Maria Chaderina, Alexander Muermann, Christoph Scheuch

DOI: [10.1287/mnsc.2023.03670](https://doi.org/10.1287/mnsc.2023.03670)

Department: Finance

Published: 2026-07-20

Fields & Theories:

- **Fields:** Finance, Financial Markets, Risk Management
- **Theories:** Market Microstructure, Systemic Risk, Fire Sale Models

Abstract:

We investigate which bonds investors should sell when they need to raise cash quickly. Our model shows that the intuitive strategy of selling the most liquid bonds can backfire. In over-the-counter markets, liquid bonds trade fastest, but when many investors simultaneously sell the same liquid, widely held bonds while buying capital is scarce, their prices fall the most. Individual investors do not fully internalize how their sales amplify the liquidation losses of others, making the outcome privately optimal but collectively inefficient. We test these predictions using property and casualty insurers around major natural catastrophes and find that insurers sell liquid bonds first, only partially avoid crowded bonds, and that liquid bonds experience the largest price declines during fire sales. The overlap in liquid holdings thus emerges as a key source of systemic risk that should receive greater weight in regulation and risk measurement. This paper was accepted by Lukas Schmid, finance. Funding: C. Scheuch is grateful for financial support from the Austrian Science Fund (FWF) [Grant DOC 23-G16]. Supplemental Material: The data files are available at <https://doi.org/10.1287/mnsc.2023.03670>.

□ Chaderina - The Dark Side of Liquid Bonds in Fire Sales.pdf

5. In Short Supply: Efficiency Implications of Rational Attention Allocation

Authors: Ankit Kalda, Xiaoying Li, Jan Schneemeier

DOI: [10.1287/mnsc.2024.07233](https://doi.org/10.1287/mnsc.2024.07233)

Department: Finance
Published: 2026-07-14

Fields & Theories:

- **Fields:** Finance, Information Economics, Strategic Management
- **Theories:** Rational Inattention, Market Feedback Hypothesis, Information Acquisition

Abstract:

This paper examines the role of rational attention allocation in shaping private information acquisition, and its implications for price informativeness and real outcomes. Our setting exploits the listing of options on a stock as a source of variation in the relative value of acquiring information on its close industry peers. Consistent with the predictions of our theoretical model, we find that options listing on peer firms' stocks is associated with declines in attention and price informativeness, and an increase in return volatility. These changes are accompanied by declines in investment-price sensitivity and profitability, indicating a deterioration of market feedback. This paper was accepted by *Camelia Kuhn*, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07233>.

□ Kalda - In Short Supply Efficiency Implications of Rational Attention Allocation.pdf

6. The Uneven Impact of Generative Artificial Intelligence on Entrepreneurial Performance: Evidence from a Field Experiment in Kenya

Authors: Nicholas G. Otis, Rowan Clarke, Solène Delecourt, David Holtz, Rembrand Koning
DOI: [10.1287/mnsc.2024.06909](https://doi.org/10.1287/mnsc.2024.06909)
Department: Business Strategy
Published: 2026-07-10

Fields & Theories:

- **Fields:** Entrepreneurship, Strategic Management, Digital Transformation, International Business
- **Theories:** Behavioral Strategy, Human-AI Interaction, Decision-making Theory

Abstract:

Scalable and low-cost artificial intelligence (AI) assistance has the potential to improve firm decision making and economic performance, particularly in emerging markets. However, running a business involves a wide range of open-ended problems, making it unclear whether and how recent advances in AI can help business owners around the world make better decisions. In a field experiment with Kenyan entrepreneurs, we evaluated the impact of AI advice on small business revenues and profits by randomizing access to a GPT-4-powered AI business assistant. Although we are unable to reject the null hypothesis of no average treatment effect on firm revenues and profits, we find that the effect for entrepreneurs who were low performing at baseline is over 0.20-standard-deviations lower than for initial high performers. Subsample analyses show that low performers did nearly 10% worse because of the AI assistant, whereas high performers may have benefited by over 15%. This differential impact does not appear to result from differences in the questions posed to the AI or the advice that it provided but rather, from the advice that entrepreneurs chose to implement. More broadly, these results show that generative AI is already capable of impacting real-world business performance—although in uneven and sometimes unexpected ways. This paper was accepted by *Anita McGahan*, business strategy. Funding: This work was supported by the Weiss Fund, Harvard Business School, Berkeley Haas, the Cora Jane Flood Endowment at Berkeley Haas, the Agency Fund, the South Park Common Social Impact Fellowship, and the Digital Data Design Institute at Harvard. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06909>.

□ Otis - The Uneven Impact of Generative Artificial Intelligence on Entrepreneurial Performance.pdf

7. Bank Run, Interrupted: Modeling Deposit Withdrawals with Generative AI

Authors: Sophia Kazinnik

DOI: [10.1287/mnsc.2024.06807](https://doi.org/10.1287/mnsc.2024.06807)

Department: Finance

Published: 2026-07-06

Fields & Theories:

- **Fields:** Finance, Crisis Management, Behavioral Economics, Computational Social Science
- **Theories:** Signaling Theory, Network Theory, Agent-Based Modeling, Behavioral Finance

Abstract:

I study depositor behavior in panic-driven bank runs using an LLM-based survey simulation. I build a representative population of synthetic agents by assigning demographic attributes, expose them to a viral panic post, and randomize bank communication interventions. I validate model responses against human benchmarks and then generate systematic message variants that vary tone, strength, and content within the validated design space. I then include the estimated withdrawal propensities into a contagion model, which maps network nodes to depositor personas and propagates withdrawals through a single layer proximity network. Direct, personalized bank communications with strong reassurances and explicit survival clauses substantially reduce withdrawal intent. This framework offers an efficient, inexpensive method for testing crisis messages and projecting how runs may unfold under alternative communication strategies. This paper was accepted by Kay Giesecke, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06807>.

□ Kazinnik - Bank Run, Interrupted Modeling Deposit Withdrawals with Generative AI.pdf

8. Lemon Cycles

Authors: Feng Dong, Ernest Liu

DOI: [10.1287/mnsc.2024.07248](https://doi.org/10.1287/mnsc.2024.07248)

Department: Finance

Published: 2026-06-19

Fields & Theories:

- **Fields:** Finance, Entrepreneurial Finance, Information Economics
- **Theories:** Adverse Selection, Information Asymmetry, Financial Frictions, Predator-Prey Dynamics

Abstract:

We build a model of endogenous credit cycles arising from the dynamics of adverse selection. Heterogeneous entrepreneurs trade productive assets in an anonymous market subject to financial frictions. Cream-skimming rent-seekers create lemon assets that can be traded. Lemon assets are indistinguishable ex-ante from the productive assets but have no productive value ex-post. The average quality of assets is the key state variable of the economy. High asset prices today attract the creation of more lemons, thereby exacerbating adverse selection and depressing the future reallocation of productive assets and asset prices. Productive and lemon assets therefore exhibit predator-prey dynamics, and the quality of assets evolves endogenously over time. The equilibrium may feature endogenous cycles and chaos, with the credit market freezing and thawing recurrently and with deterministic ups and downs in asset prices and the volume of trades. We show that a social planner has incentives to tax credit market activities in order to reduce lemon assets and to eliminate endogenous cycles. This paper was accepted by Will Cong, finance. Funding: F. Dong acknowledges the financial support from the National Natural Science Foundation of China [Grant 72525004]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07248>.

□ Dong - Lemon Cycles.pdf

9. Second-Tier Stock Exchanges and Growth of Entrepreneurship

Authors: Huasheng Gao, Po-Hsuan Hsu, Yuxi Wang

DOI: [10.1287/mnsc.2024.08619](https://doi.org/10.1287/mnsc.2024.08619)

Department: Entrepreneurship and Innovation

Published: 2026-06-19

Fields & Theories:

- **Fields:** Entrepreneurship, Entrepreneurial Finance, Innovation
- **Theories:** Institutional Theory, Exit Mechanism Theory, Resource-Based View

Abstract:

We examine the role of second-tier stock exchanges in an entrepreneurial context from a global perspective. We construct a country-industry-year panel of global venture capitalist (VC)-invested startups, and find a significant increase in entrepreneurial activity following the launch of such markets. A causal interpretation is supported by additional tests for staggered difference-in-differences regressions and interacted regressions based on industry-specific dependence on second-tier stock exchanges. We propose a VC exit mechanism that receives empirical support: the launch of second-tier stock exchanges positively predicts (i) VC investment in startups, (ii) VCs' valuation of startups, (iii) startups' patenting records, (iv) startups' initial public offering (IPO) likelihood, and (v) startups' IPO valuation. We find that more startups are created in countries with more VC investment after the launch of such markets. We also find that the effect of second-tier stock exchanges on entrepreneurial ventures increases with financial resources, human capital, and intellectual property protection. This paper was accepted by Matt Marx, entrepreneurship and innovation. Funding: H. Gao acknowledges financial support from the National Natural Science Foundation of China [Grant 72472028]. P.-H. Hsu acknowledges research support from the National Science and Technology Council in Taiwan [Grants NSTC 113-2410-H-007-008-MY3 and NSTC 114-2410-H-007-016-MY3], the Mack Institute for Innovation Management of the Wharton School at the University of Pennsylvania, and the E.SUN Academic Award for financial and research support. Y. Wang acknowledges financial support from the National Natural Science Foundation of China [Grant 72402130]. This work was also supported by the Dalian Commodity Exchange. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08619>.

□ Gao - Second-Tier Stock Exchanges and Growth of Entrepreneurship.pdf

10. The Impact of Voluntary Carbon Goal Announcements on Stock Returns

Authors: Lukas Schnabel, Setareh Heidari, Stefan J. Hock, Sascha Raithel

DOI: [10.1287/mnsc.2024.08673](https://doi.org/10.1287/mnsc.2024.08673)

Department: Business Strategy

Published: 2026-06-19

Fields & Theories:

- **Fields:** Strategic Management, Corporate Social Responsibility, Non-market Strategy, Finance
- **Theories:** Signaling Theory, Stakeholder Theory, Market Efficiency

Abstract:

This study quantifies the impact of voluntary carbon goal announcements on cumulative abnormal stock returns (CAR). Using 188 announcements of U.S. publicly traded firms between 2018 and 2024 across a variety of industries, this event study offers new and economically relevant insights on when and how firms should announce their carbon goals. First, a voluntary carbon goal announcement is associated with 0.65% positive CAR for the main event window (-2,+2), which translates to an increase of about \$490 million based on the average market capitalization of firms in our data set. Notably, despite the substantial financial commitments implied by carbon neutrality, this corresponds to an average gain of about \$75 in abnormal return per current ton of CO₂-equivalent emissions. Second, our analysis of announcement-related media coverage using topic modeling reveals that investors respond more positively when the media highlights the expected business impact of the carbon goal. Third, firms with higher current emissions in the scopes they commit to eliminate are evaluated more favorably by the stock market, suggesting that investors value the larger emission reduction volume associated with such commitments. Finally, the positive effects of emphasizing

business impact and promising to eliminate higher current emissions diminish over time. We conduct a series of robustness checks to ensure that our results are reliable and unbiased. Overall, this study provides a strong empirical foundation for understanding the consequences of voluntary carbon goal announcements of firms and discusses implications for theory and practice.

This paper was accepted by Anita McGahan, business strategy. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08673>.

□ Schnabel - The Impact of Voluntary Carbon Goal Announcements on Stock Returns.pdf

11. Do Hedge Funds Strategically Misreport Their Holdings? Evidence from 13F Restatements

Authors: Sean Cao, Zhi Da, Xin Daniel Jiang, Baozhong Yang

DOI: [10.1287/mnsc.2024.08833](https://doi.org/10.1287/mnsc.2024.08833)

Department: Finance

Published: 2026-06-17

Fields & Theories:

- **Fields:** Strategic Management, Corporate Governance, Information Strategy, Financial Intermediation
- **Theories:** Information Asymmetry, Strategic Disclosure, Agency Theory, Signaling Theory

Abstract:

Hedge funds can subsequently amend their originally reported 13F quarterly holdings using restatements. We conduct the first systematic analysis of such filings, which are as common as confidential filings (used by funds to delay holding disclosures) but affect three times as many stocks. Restated holdings are associated with significant abnormal returns, suggesting that some original holdings are strategically misreported to hide funds' trading intentions and that later restatements facilitate copycat trading and price convergence. We construct a restatement return gap measure to gauge the value added by such restatements and find that a positive return gap is predictive of superior future fund performance. This paper was accepted by Kay Giesecke, finance. Funding: S. Cao acknowledges support from the AI Initiative from Capital Markets Research at the University of Maryland. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08833>.

□ Cao - Do Hedge Funds Strategically Misreport Their Holdings Evidence from 13F Restatem.p
